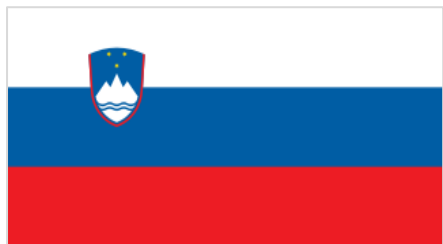


# THE OECD TAX-BENEFIT DATABASE

Description of policy rules for  
Slovenia 2021



# THE OECD TAX-BENEFIT DATABASE FOR SLOVENIA

## Description of policy rules for 2021

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**This version:** October 2021

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## Preface

This report provides a detailed description of the tax and benefit rules in Slovenia as they apply to working-age individuals and their dependent children. It also includes output from the [OECD Tax-Benefit model \(TaxBEN\)](#), which puts all these complex legal rules into a unified methodological framework that enables international comparisons of how tax liabilities and benefit entitlements affect the net disposable income of families in different labour market circumstances, .e.g. in employment versus unemployment.

The **main body** of the report describes the rules that are relevant for the family and labour market characteristics that are within the scope of the **TaxBEN** model (see below for the methodology and user guide). The **annex** provides information on other cash benefits and taxes on employment income that are relevant for other groups of the working-age population, but are outside the scope of the **TaxBEN** model.

**TaxBEN** is essentially a large cross-country calculator of tax liabilities and benefit entitlements for a broad set of *hypothetical* families (“vignettes”), e.g. a married couple of 40-years-old adults with two children aged 4 and 6 (click [here](#) for a quick overview of the **TaxBEN** model). **TaxBEN** incorporates rules on the main taxes on employment income, social contributions paid by employees and employers, as well as the main cash and near-cash benefit programmes, including unemployment benefits, family and childcare benefits, guaranteed minimum-income benefits, cash housing benefits, and employment-conditional benefits. Disability benefits, maternity and parental leaves benefits are included in the model for a sub-set of countries and years. The main policy instruments that are currently not included in the **TaxBEN** model are taxes on wealth (e.g. taxes on immovable and unmovable properties), indirect taxes (e.g. VAT), early-retirement benefits, short-time work compensation schemes, sickness benefits, and in-kind benefits (e.g. subsidised transport and free health care).

### Useful online resources for the OECD tax-benefit model (TaxBEN)



[TaxBEN web calculator](#)



[Methodology and user guide](#)



[OECD tax-benefit data portal](#)



[Network of national experts](#)

### Guidelines for updating this report (for national experts)



[General guidelines](#)

Detailed [guidelines for updating Section 5](#) “Net costs for Early Childhood Education and Care”

### Reading notes and further details on the content of this report

- **Reference date** for the policy rules described in this report: **January 1, 2021**.
- The symbol  in the text provides a link to the glossary of technical terms.
- Section titles provide the names of taxes and benefits as they are known in the country: first, direct translation into English, then (in brackets) the name in the national language.
- **TaxBEN** variables are indicated in the text using the format **[variable name]**
- Text in **blue colour font** identifies COVID-related measures that are still in place on the reference policy date of this report

## The OECD tax-benefit model for Slovenia: Policy rules in 2021

### 1. Reference wages

Average wage **[AW]**: The OECD tax-benefit model uses Secretariat estimates of the average full-time wage (available [here](#)).<sup>1</sup> If Secretariat estimates are not available yet, the model uses wage projections obtained by applying forecasted wage growth<sup>2</sup> to the latest available wage estimate.

The minimum wage **[MIN]** in 2021 (in force since 1 January 2021) is EUR 1,024.24 per month. The annual minimum wage is computed by multiplying the minimum monthly wage (as of January 1, 2021) by 12, i.e. EUR 1,024.24\* 12 = EUR 12,290.88.

### 2. Unemployment benefits

#### 2.1. Unemployment insurance (*Zavarovanje za primer brezposelnosti*)

Variable names: **[UI\_p; UI\_s]**

This is an unemployment insurance benefit. It is contributory, not means-tested and is taxable. 

##### 2.1.1. Eligibility conditions

**Age:** No age conditions.

**Contribution/employment history:** Unemployment insurance rights may be obtained by an unemployed person who was insured for at least nine months in the previous 24 months before the unemployment occurred. Those with an insurance period ranging from six to nine months in the previous 24 months who are aged under 30 are also eligible. Unemployed persons fulfilling conditions for old age retirement (60 years of age, 40 years of effective contribution period) or occupational pensions are not eligible.

The changes of the Labour market Regulation Act (ZUTD-E), which has been enforced by 1<sup>st</sup> of January 2021, extended insurance period for entitlement of unemployment benefit to ten (10) months in the previous 24 months.

**Behavioural requirements and related eligibility conditions:**  TaxBEN assumes that the following compulsory conditions are satisfied when simulating unemployment benefits.<sup>3</sup> The conditions for receipt of unemployment benefits are that the claimant:

- is unemployed involuntarily (i.e. through no fault of their own),
- is registered at the Employment Service of Slovenia,
- applied for benefits within 30 days of the termination of employment,

---

<sup>1</sup> Average Wages are estimated by the Centre for Tax Policy and Administration at the OECD. For more information on methodology see the latest Taxing Wages publication.

<sup>2</sup> Wage growth projections are based on [OECD Economic Outlook](#) and [EU economic forecasts](#) (for non-OECD countries).

<sup>3</sup> Details on behavioural requirements and sanction provisions for unemployment benefits are reported in regularly updated companion reports, see [Immervoll and Knotz \(2018\)](#), [Langenbucher \(2015\)](#) and [Venn \(2011\)](#).

- is capable of work and actively seeking employment
- is prepared to accept any appropriate or suitable employment offered by the Employment Service or another provider of employment brokerage services.

Benefits can be terminated if the claimant ceases to be registered with the public employment service, refuses to enter an active employment policy programme or breaches an obligation arising from the contract on entering an active employment policy programme, refuses to accept appropriate or suitable employment, does not make efforts during a job interview, does not provide information requested, engages in occasional or regular illegal employment, or refuses to sign an employment plan. Since January 2018, there has been a gradual sanctioning of violations of obligations regarding active job search. Recipients of unemployment benefit are sanctioned by the reduction of unemployment benefit for 30% of the last paid amount for the first violation of the obligation, and the benefit ceases to be paid after a second violation.

Gradual sanctioning was abandoned since changes of the Labour market Regulation Act (ZUTD-E) and kept for inactivity of jobseeker only, for other violations benefit is terminated after first violation.

The anti-corona packages (described in details in the Annex) introduced a temporary unemployment benefit for those who lost the job during the pandemic and did not meet the eligibility conditions for the regular unemployment benefit (e.g. young jobseekers with short employment tenure). This measure is explained in Section 2.2.

### 2.1.2. *Benefit amount*

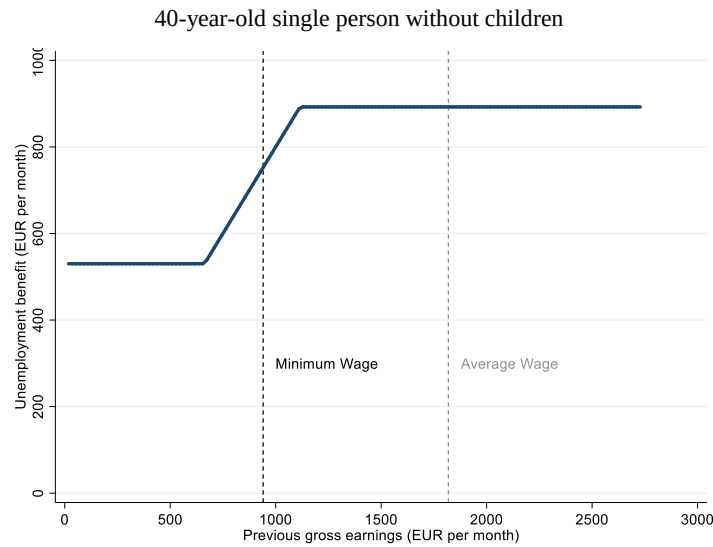
**Calculation base:** The cash benefit assessment basis is the average monthly salary during the eight months prior to the month unemployment begins. For those under 30, the assessment basis is the average monthly salary during the five months prior to the month unemployment begins.

**Benefit amount:** Unemployment benefit rates are as follows:

- For the first three months (the third month is included): 80% of the reference basis, or 60% if the claimant fails to register as unemployed within the notice period;
- For the following nine months (i.e. from the 4<sup>th</sup> to 12<sup>th</sup> month, included): 60% of the reference basis.
- After 12 months: 50% of the reference basis.

The benefit amount is subject to minimum and maximum amounts. The minimum benefit amount is EUR 530.19 per month, though this does not apply if the claimant was previously working part time. The maximum monthly benefit amount is EUR 892.50 (before tax).

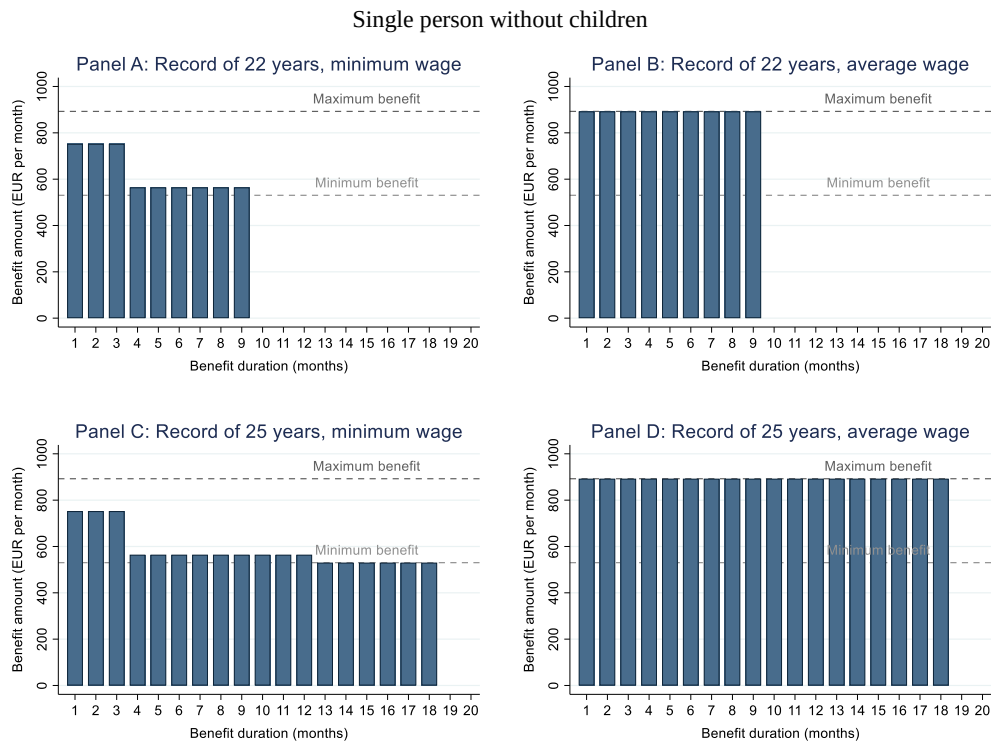
**Figure 1. Unemployment benefit amount by previous earnings**



*Note:* Unemployment benefit amount does not depend on family structure. Calculations assume a long and continuous employment record of 22 years. The figure shows amounts in the 2<sup>nd</sup> month of benefit receipt.

*Source:* OECD Tax-Benefit Model.

**Figure 2. Unemployment benefit amount by employment record and previous wage**



*Note:* The figure shows amounts and duration of unemployment benefit received by a person with different employment record and previous earnings. Four cases are selected to show different outcomes:

- Panel A shows a 40-year-old person with 22 years of employment record and previous wage equal to the minimum wage.
- Panel B shows a 40-year-old person with 22 years of employment record and previous wage equal to the average wage.
- Panel C shows a 55-year-old person with more than 25 years of employment record and previous wage equal to the minimum wage.
- Panel D shows a 55-year-old person with more than 25 years of employment record and previous wage equal to the average wage.

*Source:* OECD Tax-Benefit Model.

### 2.1.3. Benefit duration

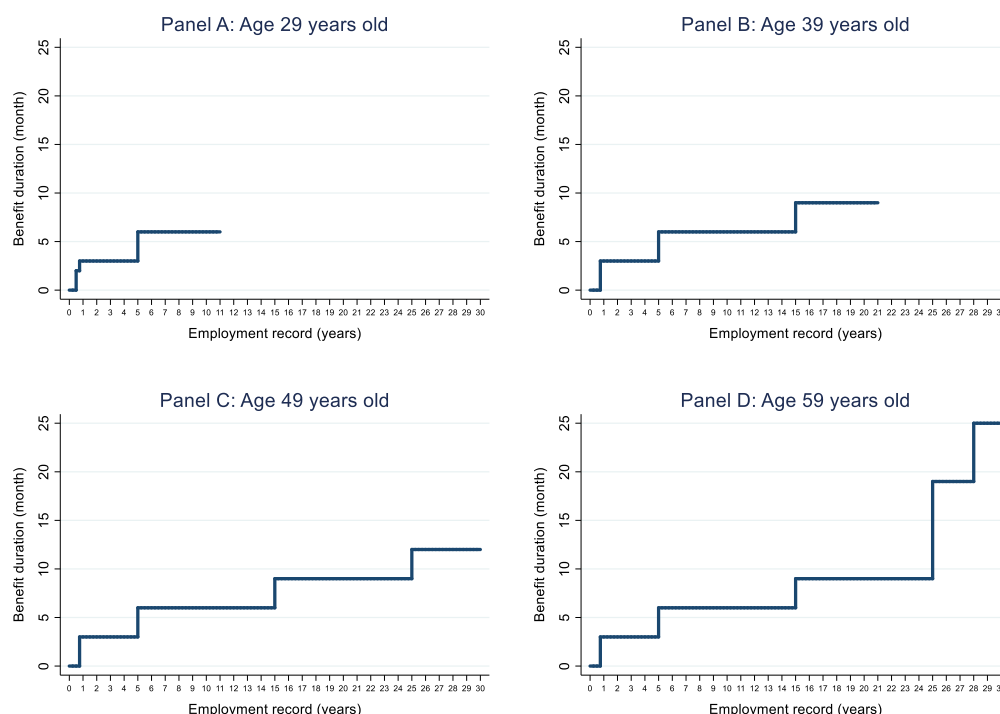
Unemployment benefit duration depends upon the claimant's insurance contribution record as follows:

- 2 months if the insurance period ranges from 6 to 10 months (only for those aged under 30).
- 3 months for insurance of 10 months to 5 years,
- 6 months for insurance of 5 to 15 years,
- 9 months for insurance of 15 to 25 years,
- 12 months for insurance of 25 years or more,
- 19 months for those aged over 53 with an insurance period of more than 25 years,
- 25 months for insured persons over 58 years of age with an insurance period of more than 28 years.

Benefits can be reclaimed after obtaining a new insurance period of at least 10 months (or 6 months for those aged under 30). However, in this case the insurance period from which the right to cash benefit had been already assessed and the insurance period used to receive cash benefits shall not be included in the insurance period for the assessment of benefit duration. This provision does not apply to those who are older than 57 years of age, or have accumulated an insurance period of more than 35 years.

**Figure 3. Unemployment benefit duration by age and employment record**

Single person without children



*Note:* The figure shows unemployment benefit duration for 29-, 39-, 49- and 59-year-old person by previous employment record. It is assumed that a person can start working at 19 years old. Thus, the maximum employment record cannot exceed person's age minus 18.

*Source:* OECD Tax-Benefit Model.

### 2.1.4. Means test

The benefit is not means-tested.

### 2.1.5. Tax treatment

The benefit is taxable.

### 2.1.6. Interactions with other components of the tax-benefit system

Unemployment insurance benefits can be received alongside all other benefits, however they are included in the income definition for the means tests for social assistance, housing benefit and family benefits.

### 2.1.7. Combining benefit receipt and employment/starting a new job

The insured person who seeks full-time employment and signs a part-time employment contract of less than 20 hours per week retains the right to receive a proportionate part of the gross unemployment benefit, and pay a proportionate part of contributions for pension and disability insurance, for the difference to full-time employment (also see Article 66 of the ZUTD).

For instance, if the insured person works 20% of full time, i.e. 8 hours a week, he or she can keep 20% of their previous gross unemployment benefit (before taxes and social security contribution payments), whereas if the person works 45% of full time i.e. 18 hours a week, he or she can retain 45% of their previous unemployment benefit. The entitlements lasts until the right to unemployment benefits expires.

The benefit can be received alongside any other benefits. However, it is included in the income definition for the means tests for social assistance, housing benefit and family benefits.

*TaxBEN note:* according to the methodology underlying the OECD tax-benefit model, the partial unemployment benefit described above is defined as an ‘into-work’ benefit.<sup>4</sup> Into-work benefits whose amounts or rules are linked to other out-of-work benefits (like the partial unemployment benefit in Slovenia) are included in the same variable of the benefit to which they depend (e.g. ‘Unemployment Benefit’).

Since January 2018, unemployment insurance benefit recipients who take up full time employment (i.e. 40 hours a week) retain the right to receive part of their last paid cash unemployment insurance benefit until the right to unemployment insurance benefits expires, but for no more than 12 months after the start of the new employment.<sup>5</sup> To be entitled to the benefit, a claimant must be a recipient of unemployment insurance and have a low- or middle level of education or be educated for a profession for which there is low demand who has moved into full-time employment (other than employment in public works programmes).<sup>6</sup>

The benefit is equal to 20% of the last unemployment benefit payment. Because a person who moves into full time employment pays already social security contributions and income taxes for his or her full time job, the 20% of the last unemployment benefit amount refers to the *gross* unemployment benefit amount, i.e. the amount paid before social security contribution and income tax payments. The benefit can be received until

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<sup>4</sup> Into-work benefits are cash benefits paid to those who are out of work and move into a formal employment relationship, either full time or part time. These benefits can be related to previous out-of-work benefit entitlements, e.g. for the calculation of the amount and the duration, or take the form of lump-sum grants.

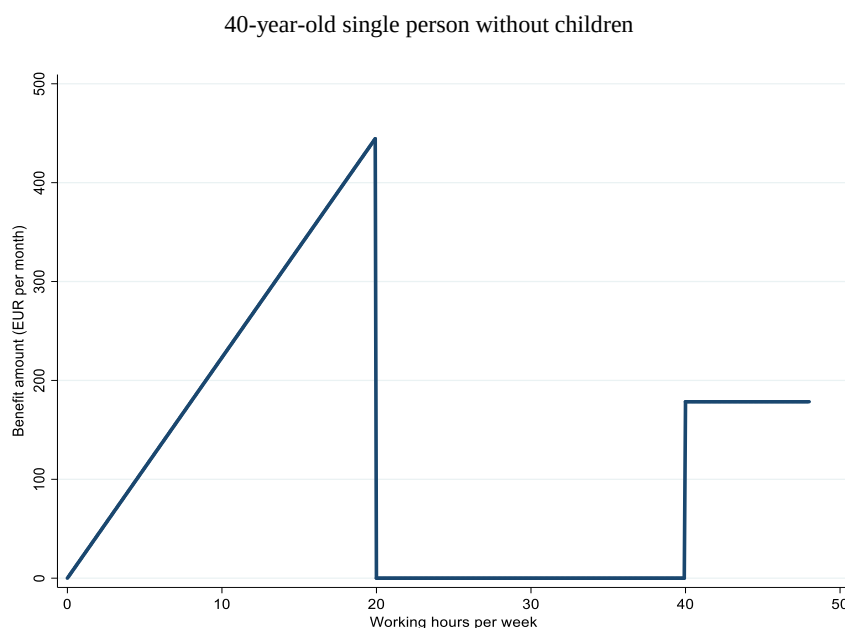
<sup>5</sup> Unemployment insurance benefit recipients can also receive payment for work done on the basis of a contract other than employment contract (e.g. a service contract). In this case, half of earnings above EUR 200 per month are deducted from the unemployment benefit amount. This situation is not simulated in the TaxBEN model.

<sup>6</sup> It is assumed that this condition is met in the TaxBEN model.

unemployment benefit entitlement would have expired, or for 12 months, whichever is shorter. The benefit is taxable and is included in the income definition for the means tests of social assistance (Section 3.1), housing benefit (Section 3.2) and family benefits (Section 4).

Since March 2020 changes of the Labour market Regulation Act (ZUTD-E) applied, according to which benefit could not be granted if person is re-employed at the same employer.

**Figure 4. Unemployment benefit amount by current working hours**



*Note:* The figure shows the amount of unemployment benefit that a jobseeker can retain after starting a new part-time or full-time job. The jobseeker has an employment record of 22 years and the previous wage equal to the average wage. After receiving unemployment benefit for two months, the jobseeker finds a new employment with an hourly wage equal to the average wage. The figure shows the amount of the unemployment benefit that this person continues receiving at the 2<sup>nd</sup> month of employment in a new job.

*Source:* OECD Tax-Benefit Model.

## 2.2. Temporary Unemployment Benefit (COVID-related measure)

The 2<sup>nd</sup> Anti-Corona package introduced a new measure called “Temporary Unemployment Benefit (TUB)” for those unemployed who lost their job due to the COVID crisis and were not eligible to the regular unemployment benefit under the legislation terms (e.g. young persons with short tenure).

### 2.2.1. Eligibility conditions

The benefit is paid to all the jobseekers who lost the job after the 13<sup>th</sup> of March due to termination of fixed employment contract or due to operational reasons, but did not fulfil the eligibility criteria for regular unemployment benefit.<sup>7</sup>

<sup>7</sup> The 2<sup>nd</sup> package introduced also the possibility to refer unemployed and temporary-laid off workers to the occasional seasonal jobs in agricultural sector. They can earn up to 400 € per month without any deduction of their UB or wage compensation. This 400 euros compensation is for occasional seasonal jobs is outside the scope of the TaxBEN calculations.

### 2.2.2. *Benefit amount*

The monthly gross amount was EUR 513.64.

In addition, a one-time solidarity allowance of 150 EUR was paid in February 2021 to all jobseekers who lost employment due to the COVID crisis and had not yet been able to find new employment. Eligible jobseekers for this lump sum were both recipients of regular unemployment benefit and temporary unemployment benefit. This one-time allowance is excluded from income taxation.

*TaxBEN note:* because the TUB introduced was still in force on the 1<sup>st</sup> of January 2021 (the reference policy date of this report), TaxBEN assumes that jobseekers who did not fulfil the eligibility criteria for regular unemployment benefit receive the TUB in 2021. In addition, the calculations include also the one-time solidarity allowance paid in February 2021.

### 2.2.3. *Benefit duration*

The TUB was paid monthly during the epidemic declarations, i.e. from March to May 2020, and from October 2020 to May 2021.

### 2.2.4. *Tax treatment*

The gross amount of the Temporary Unemployment Benefit is included in the income tax base.

## 3. Social assistance and housing benefits

### 3.1. *Financial social assistance (denarna socialna pomoč)*

Variable name: **[SA]**

This is a non-contributory benefit, means-tested and not taxable.

Financial Social Assistance is a social benefit which acts as a final safety-net. It is provided to individuals and families who are unable to secure their material needs for reasons beyond their control. The purpose of Financial Social Assistance is to provide for minimum needs at a level which allows basic subsistence. There are two types of Financial Social Assistance: Ordinary (described in this Section and simulated in the TaxBEN model) and Extraordinary (not simulated and described in the Annex).

#### 3.1.1. *Eligibility conditions*

All Slovenian citizens who have permanent residence in the Republic of Slovenia, foreigners who have a permit for permanent residence in the Republic of Slovenia and permanent residence, persons granted international protection and their family members who have on the basis of the right to family reunification a residence permit in the Republic of Slovenia and have their permanent or temporary residence in the Republic of Slovenia, and those entitled on the basis of international agreements ratified by the Republic of Slovenia may apply for Financial Social Assistance.

There is no age restriction for Financial Social Assistance, however those above normal retirement age (63 for women and 65 for men) can apply for Supplementary Allowance.

Financial Social Assistance is not granted to persons whose income is below the minimum income for reasons which they could or can influence or who, without valid reasons, reject, avoid or abandon activities which could or can lead to employment or to another method of increasing their family's income. This could include termination of a job for specified reasons, failure to register with the body responsible for employment, unjustified rejection of an appropriate work, unjustified abandonment of

the exercise of a right which could influence the social situation of the person or his or her family members, unwillingness to accept the call for concluding the contract on means of support, refusal to conclude or failure to implement the specified activities to address individual social problems, serving a prison sentence or the loss of the means of subsistence or of any income for the reasons within the claimant's control.

Recipients of Financial Social Assistance must accept any employment after receiving Financial Social Assistance for nine of the previous 12 months.

The Act on exercising the rights from public funds defines the order of rights to be claimed from public funds. The first right to be claimed is Child Allowance (if the individual has children), and the second is Financial Social Assistance (followed by the Supplementary Allowance and State Scholarship). This means that in case of a family with children, the family must claim Child Allowance first, and then this income is taken into account when calculating Financial Social Assistance Entitlement.

### 3.1.2. *Benefit amount*

The level of Financial Social Assistance is linked to the Basic Minimum Income (*osnovni minimalni dohodek*). The amount of Financial Social Assistance and Supplementary Allowance is therefore adjusted in parallel with adjustments of the Basic Minimum Income.

As of the 1<sup>st</sup> of January 2021, the Basic Minimum Income is EUR 402.18 per month.

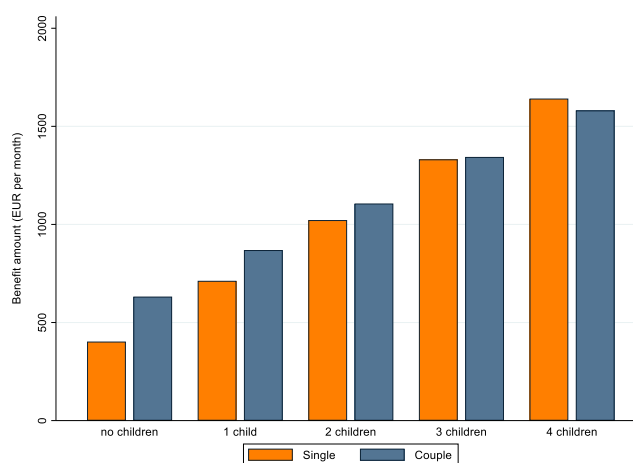
The amount of the Financial Social Assistance is determined as the difference between (i) the sum of the amounts of minimum income for each family member (listed below) and (ii) the total household income (Section 3.1.4).

The minimum monthly income for each family member is as follows:

- first adult, or a single person or an adult who is in institutional care: 100% of the BMI,
- first adult, or a single person who is working between 60 and 128 hours per month: 126% of the BMI,
- first adult, or a single person who is working more than 128 hours per month: 151% of the BMI,
- a single person aged between 18 and 26, registered with the Employment Service living at the same address as their parents, provided that the parents have means to support themselves: 70% of the BMI,
- every next adult person working less than 60 hours per month: 57% of the BMI,
- every next adult person working between 60 and 128 hours per month: 70% of the BMI,
- every next adult person working more than 128 hours per month: 83% of the BMI,
- each child of the claimant, as long as they are obliged to support these children in accordance with the rules governing their duty of maintenance: 59% of the BMI.
- increase for each child in a single-parent family if no subsistence benefits for child support are received: 18% of the BMI.

**Figure 5. Financial social assistance for out-of-work families**

40-year-old single person and couple with or without children



*Note:* The figure shows maximum amount of financial social assistance for a jobless family with no income. Results assume no receipt of unemployment benefits, family benefits or any other benefits that are usually included in the means test for social assistance benefit.

*Source:* OECD Tax-Benefit Model.

The Anti-corona package (see the Annex for the details) provided a non-taxable ‘Solidarity allowance’ for those who were eligible for Financial social assistance. The Solidarity allowance was a one-off payment paid in April 2020. Recipients of both regular and temporary unemployment benefits (sections 2.1 and 2.2) could receive the Solidarity allowance if they were recipients of Financial social assistance in April 2020. However, UB/TUB are counted as income in means test for financial social allowance.

*TaxBEN note:* Because the ‘Solidarity allowance’ for SA recipients was paid only once in 2020, the 2021 calculations (based on the legislation that was in force on January 1 2021) do not include this allowance.

### 3.1.3. Benefit duration

The duration of Financial Social Assistance can be up to 3 months when granted for the first time. It can then be prolonged for 6 months if circumstances remain unchanged. In special cases (families with someone above normal retirement age and other relevant circumstances) benefits may be granted for a maximum of 12 months. Permanent assistance is given to those whose social status is not likely to improve and who fulfil other specified conditions, such as those above normal retirement age, with a permanent incapacity for work, or permanent unemployability and no property. However, Financial Social Assistance may be renewed if the circumstances giving rise to entitlement remain unchanged.

### 3.1.4. Means test

The monthly amount of Financial Social Assistance is the difference between corresponding thresholds and total monthly income of an individual or family. This includes earnings from employment and unemployment benefits (Section 2) minus income tax (Section 8) and social security contributions (Section 7). The reference income includes also inheritances, gifts, income from agricultural and entrepreneurial activities and all wages and earnings of an individual or their family members that are subject to income tax, as well as non-taxable personal earnings.

The child benefit (Section 4.1) is included in the reference income with the following exceptions:

- The additional amount for a one-parent family;
- The addition for children who are not enrolled in kindergarten,

The child benefit that enters the reference income is further reduced of an amount that equals 20% of the child benefit amount for the first child in the first income bracket (see Table 1 in Section 4.1) multiplied by the number of children.

*Example: consider a lone parent with two dependent children under 18. Assuming that the reference household income for the calculation of the child benefit is in the first income bracket (see Table 1 in Section 4.1), the lone parent receives EUR 284.43 of total child benefit:*

- 117.05 EUR for 1<sup>st</sup> child;
- 128.75 EUR for 2<sup>nd</sup> child;
- $117.05 \cdot 0.3 + 128.75 \cdot 0.3 = 73.74$  EUR as additional amount for one-parent families

*However, the income that is considered for the financial social assistance is equal to:*

$117.05 + 128.75 - 0.2 \cdot 117.05 \cdot 2 = 198,98$  EUR.

Note that the way the child benefit enters the means test of the Financial Social Assistance benefit is the same as for all the other benefits that include the child benefit in their means test (e.g. the housing benefit described in Section 3.2 of the reduction in the childcare fees described in Section 5).

The following income sources are NOT taken into account in the means test:

- Large family allowance (Section 4.1),
- subsidies paid from the State budget for specific purposes,
- housing subsidies for young families,
- one-off cash assistance under the legislation governing the protection against natural and other disasters,
- one-off solidarity assistance from a trade union,
- compensation for damaged things that were available for defence needs or protection against natural disasters,
- income associated with agricultural and forestry activity,
- scholarships and other benefits paid to students,
- benefits for covering tuition fees, transport and housing,
- support for education or training fees and transport or lodging costs,
- transport to work and food allowances,
- cash assistance from humanitarian and disability organisations and charities up to the amount of the minimum income for the individual or family

All real estate and personal property (e.g. financial assets and vehicles) are also taken into account with some exceptions, such as the family's primary residence, personal vehicles worth less than EUR 11,261.04, bank loans received by the person exclusively for the purchase or construction of housing, cash worth up to three times the Basic Minimum Income for a single person, or, for a family up to three times the Basic Minimum Income with a limit of EUR 2,500.00. Note, however that the TaxBEN model does not simulate these conditions relating to assets, and thus implicitly assumes that the family's total assets are under these thresholds.

### 3.1.5. Tax treatment

The benefit is not taxable.

### 3.1.6. Interaction with other components of the tax-benefit system

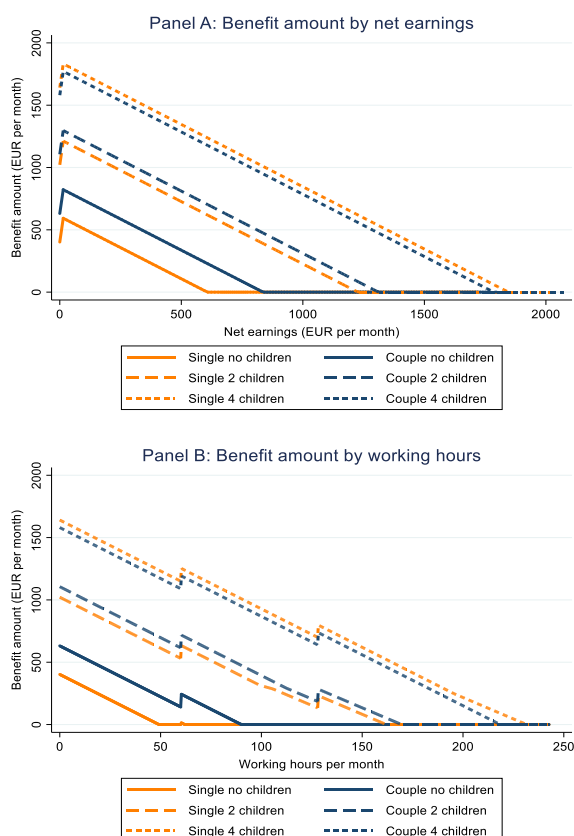
Financial Social Assistance can be received alongside all other benefits, but is included in the income definition for the housing benefit means test.

### 3.1.7. Combining benefit receipt and employment/starting a new job

No restrictions, but earnings from work are included in the income definition for the means test (see Section 3.1.4 above).

**Figure 6. Financial social assistance for working families**

40-year-old single person and couple with or without children



*Note:* The figure shows how the amount of financial social assistance for a jobless family changes if one adult in the family starts working. Results assume no receipt of unemployment benefits, family benefits or any other benefits that are usually included in the means test for social assistance benefit. In Panel A, the adult starts working full time (i.e. 40 hours per week) at different levels of earnings. In Panel B, the adult works different number of hours at an average hourly wage.

*Source:* OECD Tax-Benefit Model.

## 3.2. Housing benefit for non-profit rent (*subvencija neprofitne najemnine*)

Variable name: [\[HB\]](#)

This is a non-contributory benefit, means-tested and not taxable.

### 3.2.1. Eligibility conditions

Housing benefit for non-profit rent (HB) can be claimed by households who are renting and whose income is under income threshold (see section 3.2.4).

### 3.2.2. Benefit amount

The rent subsidy is calculated as the difference between the ‘recognised non-profit rent’ and the ‘ability to pay’.

The claimant’s ‘ability to pay’ is equal to the reference household income (Section 3.2.4), reduced by 30%, and the level of the Minimum Income calculated without the increase for work activity (Section 3.1).

The ‘recognised non-profit rent’ is calculated by multiplying the maximum apartment surface as stated by the Law (article 14 of the law on the rental of non-profit apartments – see the relevant values in the table below) by the average rent per square meter for non-profit apartments. The maximum apartment surface varies by household size as follows:

| Household size | Maximum apartment surface used for calculation of HB (m2) |
|----------------|-----------------------------------------------------------|
| 1 member       | 30                                                        |
| 2 members      | 45                                                        |
| 3 members      | 55                                                        |
| 4 members      | 65                                                        |
| 5 members      | 75                                                        |
| 6 members      | 85                                                        |

|                                                   |               |
|---------------------------------------------------|---------------|
|                                                   | <b>2021</b>   |
| <b>Average rent of non-profit apartment on m2</b> | <b>3.07 €</b> |

Source: Ministry of the Environment and Spatial Planning

| Household size | Recognized non-profit rent (in EUR) <sup>8</sup> |
|----------------|--------------------------------------------------|
| 1 member       | 92.1 €                                           |
| 2 members      | 138.15 €                                         |
| 3 members      | 168.85 €                                         |
| 4 members      | 199.55 €                                         |
| 5 members      | 230.25 €                                         |
| 6 members      | 260.95 €                                         |

If the claimant’s ability to pay is less than 20% of the recognized non-profit rent, then the housing benefit is equal to 80% of the recognized non-profit rent, even if the (actual rent) is higher.<sup>9</sup>

### 3.2.3. Benefit duration

The right to housing benefit is recognised by a decision for a period not exceeding one year, but it is possible to re-claim if still eligible.

<sup>8</sup> The recognized non-profit rent amounts shown in this table approximate the actual values, which depend on a series of unobserved factors related to the type and characteristics of the claimant’s apartment.

<sup>9</sup> In other terms claimant has to pay (at least) 20% of recognized non-profit rent, even if his ability is lower than that.

Housing benefit that expired during the declared epidemic status in Slovenia had been extended monthly (special COVID-19 Epidemic Act). The extension was carried out on a monthly basis until the cancellation of the epidemic. The extension lasted from March to April 2020 and from October 2020 to May 2021.

### 3.2.4. Means test

The reference income for the means test includes the following components: gross earnings from employment, wage compensations for unemployed and disabled workers, unemployment insurance benefit (section 2.1), social assistance benefit (including the supplements for positive working hours – see section 3.1 for details), child benefit (section 4.1). The large family allowance is *not* included in the reference income. The child benefit enters the reference income in the same way as it enters the means test of Financial social Assistance (see Section 3.1.4 for details).

Employee social security contributions (Section 7) and personal income tax (Section 8) are subtracted from the reference income.

In order to mitigate the consequences of the COVID-19 epidemic, assets other than savings and shares (“vrednostni papirji”) (which can be quickly disposed of by an individual), were not taken into account. The measure lasted from March to April 2020 and from October 2020 to May 2021.

Tenants in rented housing are eligible for the housing benefit if their net income (calculated as described above) does not exceed the reference income threshold. This threshold is calculated as the level of their Minimum Income *without* the increase for work activity (Section 3.1), increased by 30% of their established income and by the amount of the ‘recognized non-profit rent’ (see Table above).

**Table 1. Example of calculation of the housing benefit for a working lone parent with two dependent children**

Note: the lone parent does not claim Financial Social Assistance and the absent parent cannot provide financial support.

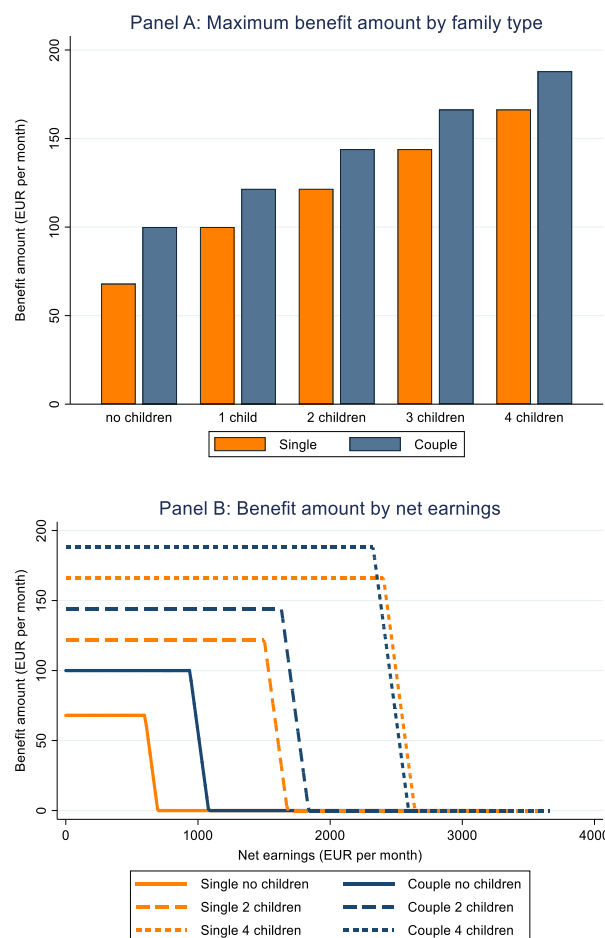
|                                                                        | Gross earnings from employment                   | Child benefit                                                        | Income tax                                                          | Social security contributions    | Net household income for HB calculations        |
|------------------------------------------------------------------------|--------------------------------------------------|----------------------------------------------------------------------|---------------------------------------------------------------------|----------------------------------|-------------------------------------------------|
| <b>Step 1: calculation of reference income for the HB calculations</b> | [1]                                              | [2]                                                                  | [3]                                                                 | [4]                              | [5] = [1] + [2] - [3] - [4]                     |
|                                                                        | 17989                                            | 1376 (the part taken into account for the HB means test, total=2520) | 868                                                                 | 3976                             | 14521                                           |
|                                                                        | Net household income for HB calculations         | 30 % of reference income                                             | Minimum Income of the family without the increase for working hours | Ability to pay the rent          | Non-profit rent stated in the tenancy agreement |
| <b>Step 2 – part 1: main components for the HB calculations</b>        | [6] = [5]                                        | [7]                                                                  | [8]                                                                 | [9] = [6] - [7] - [8]            | [10]                                            |
|                                                                        | 14521                                            | 4356                                                                 | 12258                                                               | 0 (Negative value, recoded to 0) | 4116                                            |
|                                                                        | Recognized non-profit rent for a 3-person family | Reference income threshold for HB eligibility                        | Rent co-payment (step 1)                                            | Rent co-payment (step 2)         | Final HB entitlement                            |
| <b>Step 2 – part 2: calculation of the HB entitlements</b>             | [11]                                             | [12] = [7] + [8] + [11]                                              | [13] = [11] * 20%                                                   | [14] = max([9], [13])            | [15] = [11] - [14]                              |
|                                                                        | 2026                                             | 18631                                                                | 405                                                                 | 405                              | 1620                                            |

Note 1: if the non-profit rent stated in the tenancy agreement (item 10 in the table above) was EUR 1500 instead of EUR 4116, the rent co-payment would be EUR 300 and the housing benefit would be EUR 1200.

Note 2: if the non-profit rent stated in the tenancy agreement (item 10 in the table above) was EUR 1500 instead of EUR 4116, and the “net household income for HB calculations” (item 6 in the Table above) was EUR 18211 instead of 14521, the rent-co-payment would be equal to the ability to pay the rent, i.e. EUR 490. Under this scenario, the final housing benefit entitlement would be EUR 1010.

**Figure 7. Housing benefit**

40-year-old single person and couple with or without children



Note: Results assume no receipt of unemployment benefits, family benefits, social assistance benefit or any other benefits that are usually included in the means test for housing benefit. Panel A shows the maximum housing benefit amount for a jobless family with no income. Panel B shows the reduction in the housing benefit amount when one adult starts working full time at various earnings levels. The rent for all family types is assumed to equal 20% of the average wage.

Source: OECD Tax-Benefit Model.

### 3.2.5. Tax treatment

The housing benefit is not taxable.

### 3.2.6. Interaction with other components of the tax-benefit system

It is possible to receive housing benefit together with all other benefits. Other benefits are included in the income definition for the means test as described in Section 3.2.4 above.

### 3.2.7. Combining benefit receipt and employment/starting a new job

Housing benefit receipt can be combined with employment if the means-test and other eligibility conditions are satisfied. There are no special rules for those who find employment during receipt of housing benefit.

## 4. Family benefits

### 4.1. Child benefit (*družinski prejemek*)

Variable name: **[FB]**

This is a non-contributory benefit, it is means-tested and is not taxable.

#### 4.1.1. Eligibility conditions

The claimant (one of the parents or a guardian) must have a dependent child under 18.

#### 4.1.2. Benefit amount

Child benefit provides parents with low incomes with additional support when the income per family members does not exceed the maximum limit of income bracket. All amounts are net income (as defined in Section 4.1.4 below).

**Table 1. Child benefit amounts in 2021 (EUR/month)**

| Income bracket | Income per family member as a % of average earnings (EUR) | Amount for each child until the end of the primary school, or up to the age of 18 (EUR) |           |                          | Amount for each child in high school, <sup>10</sup> but not exceeding 18 years (EUR) |           |                          |
|----------------|-----------------------------------------------------------|-----------------------------------------------------------------------------------------|-----------|--------------------------|--------------------------------------------------------------------------------------|-----------|--------------------------|
|                |                                                           | 1st child                                                                               | 2nd child | 3rd and subsequent child | 1st child                                                                            | 2nd child | 3rd and subsequent child |
| 1              | Up to EUR 188.02                                          | 117.05                                                                                  | 128.75    | 140.47                   | 117.05                                                                               | 128.75    | 140.47                   |
| 2              | over EUR 188.03 to EUR 313.37                             | 100.08                                                                                  | 110.63    | 121.12                   | 100.08                                                                               | 110.63    | 121.12                   |
| 3              | over EUR 313.38 to EUR 376.05                             | 76.27                                                                                   | 85.25     | 94.19                    | 76.27                                                                                | 85.25     | 94.19                    |
| 4              | over EUR 376.06 to EUR 438.72                             | 60.16                                                                                   | 68.64     | 77.28                    | 60.16                                                                                | 68.64     | 77.28                    |
| 5              | over EUR 438.73 to EUR 553.63                             | 49.19                                                                                   | 57.41     | 65.57                    | 49.19                                                                                | 57.41     | 65.57                    |
| 6              | over EUR 553.64 to EUR 668.53                             | 31.17                                                                                   | 39.01     | 46.81                    | 31.17                                                                                | 39.01     | 46.81                    |
| 7              | over EUR 668.54 to EUR 856.56                             | 23,38                                                                                   | 31,17     | 39,01                    | 29,52                                                                                | 37,31     | 50,84                    |
| 8              | Over EUR 856.57 to EUR 1.034.14                           | 20,36                                                                                   | 28,16     | 35,95                    | 23,43                                                                                | 31,23     | 40,85                    |

For lone parent families, these amounts are increased by 30%.

If a pre-school child does not attend kindergarten, the amount of the child benefit is increased by 20%. This 20% increase is paid for children under age of 4.

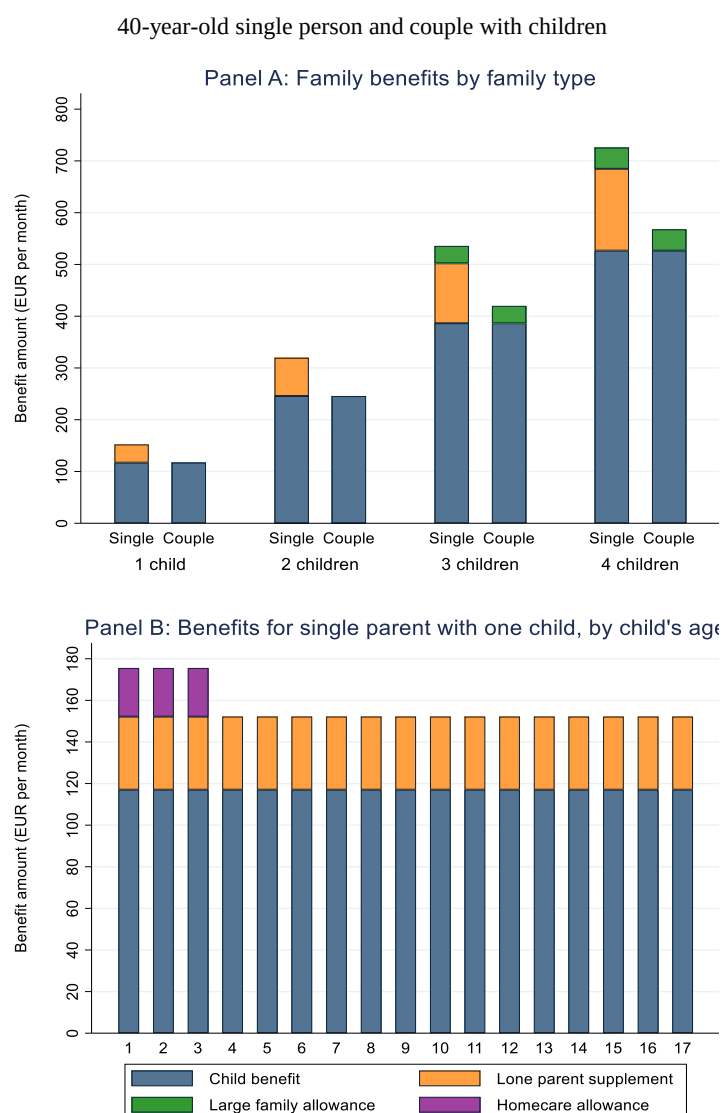
The Anti-Corona support packages (see the Annex for details) provided a one-time payment of EUR 50 per child during the epidemic period to all families with children under 18 that had a permanent or temporary residence and actually resided in the Republic of Slovenia during that period. In addition, the Anti-corona packages provided an additional one-time payment of 30 euros per child to families with one or two children that were eligible for the child benefit in the 1<sup>st</sup> to 6<sup>th</sup> income brackets shown in Table 1 above.

<sup>10</sup> Note that children usually attend high school from the age of 13.

In Slovenia, there is also a ‘large family allowance’ for families with three or more children. In 2021, the large family allowance was EUR 404.38 (EUR 491.52 for families with four or more children). The large family allowance is a lump sum payment paid once a year. [The Anti-Corona support packages \(see the Annex for details\)](#) provided an additional lump sum payment of EUR 100 to families with three children (200 EUR for families with 4 or more children). This extra payment was in addition to the regular large family allowance and was paid both in 2020 and in 2021.

*OECD note:* The COVID-related measures described above are included in the TaxBEN 2021 calculations.

**Figure 8. Maximum amount of family benefits**



*Note:* The figure shows maximum family benefit amounts for a jobless family with no income. Results assume no receipt of unemployment benefits or any other benefits that are usually included in the means test for family benefits. In Panel A, children are 4, 6, 8, and 10 year old. In Panel B, child's age varies from 1 to 17 years old. A child under the age of 4 does not attend kindergarten.

*Source:* OECD Tax-Benefit Model.

#### 4.1.3. Benefit duration

As long as the eligibility conditions hold.

#### 4.1.4. Means test

The benefit amount depends on the income bracket a family fits into (see Section 4.1.2). The income bracket depends on net income per family member, i.e. earnings net of tax and social security contributions plus unemployment benefits divided by family size.

#### 4.1.5. Tax treatment

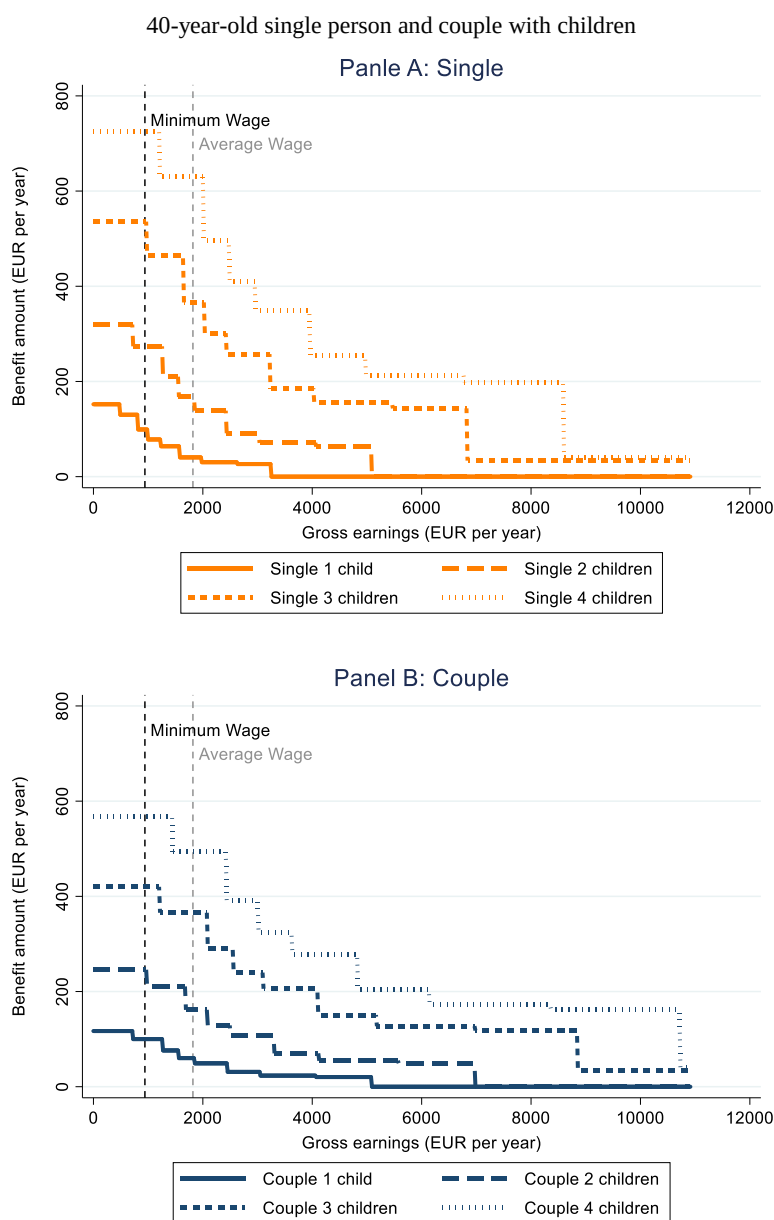
The benefit is not taxable.

#### 4.1.6. Interaction with other components of the tax-benefit system

The benefit can be received together with any other benefit, though is included in the income definition for the means tests for social assistance and housing benefit.

#### 4.1.7. Combining benefit receipt and employment/starting a new job

No restrictions, but amount of benefit received depends on earnings from work (see Section 4.1.4 above).

**Figure 9. Amount of family benefits by earnings**

*Note:* The figure shows how the total amount of family benefits (child benefit, lone parent supplement and large family allowance) decrease if one adult in the family starts working. Results assume no other sources of income except earnings from work. Children are 4, 6, 8, and 10 years old. Large family allowance for families with three or more children does not depend on income. Other benefits decrease gradually to zero as earnings increase.

*Source:* OECD Tax-Benefit Model.

In addition to the child benefit (including the supplements for large families and lone parents), Slovenia provides the following supplementary allowances for families:

- Childbirth allowance: one-time payment on the birth of a child of EUR 350.00. [The Anti-Corona support packages provided an additional one-time payment of 500 EUR for parents of new-borns from 1/1/2020 and until one year after the end of epidemic crises. Only parents with a permanent residence in the Republic of Slovenia received this payment.](#)
- Parental allowance: financial assistance for 365 days after the birth of a child or longer in special circumstances (e.g. birth of twins or triplets or premature birth) to parents when they are not entitled to parental leave benefits after the birth of

the child. In 2021, parental allowance is EUR 402.18 per month. [The Anti-Corona support packages \(see the Annex for details\)](#) provided a solidarity benefit of EUR 150 for recipients of maternity/parental allowance below the minimum wage, recipients of parental benefit, recipients of special child care allowance (Annex), recipients of partial payment for loss of income (Annex), and foster parents.

- Special child care allowance: benefit in cash for a child who needs special care and is intended to cover higher costs of living the family has due to special care and nursing of such child. The monthly amount of the special child care allowance is EUR 102.40. For children with severe disturbances in mental development and children with severe disability in movement who need special care, the allowance is EUR 204.80. [The Anti-Corona support packages provided an additional payment of EUR 100 per child per month during the epidemic period to recipients of the Special child care allowance.](#)

*OECD note:* the Childbirth allowance, the Parental allowance and the Special child care allowance described above are outside the scope of the OECD tax-benefit model.

## 5. Net costs of Early Childhood Education and Care

In Slovenia, pre-school education is not compulsory. The curriculum is divided in two cycles (from ages 1 to 3, and from 3 to 6). Different types of programme are available including full-day, half-day and shorter programmes. Families can also use child minders, pre-school education at home, or care for children in their homes on an occasional basis. The Curriculum for Pre-school Institutions includes six areas of activities: movement, language, art, nature, society and mathematics. The goals set in individual fields of activities provide the framework for teachers to select of contents and activities.

Detailed information on childcare fees and childcare benefits can be found in [this website](#).

### 5.1. Gross childcare fees

Variable name: [\[Sicc\\_cost\]](#)

The price of the program for which parents pay a certain percentage is determined by the municipality on the suggestion of the kindergarten, which can be publicly or privately run with a concession. The kindergarten calculates the price on the basis of identified costs of education, care and food in the kindergarten.

The Ministry of Education, Science and Sport collects data on kindergarten fees and parents' payments. In 2021, the average price for the 1<sup>st</sup> age group, i.e. for children aged between one and two years (included) was EUR 495.87. The average price for the 2<sup>nd</sup> age group, i.e. for children aged three (included) and until the age of compulsory school, was EUR 374.78.

For private kindergartens in 2021, the average price for the 1<sup>st</sup> age group was EUR 543.31 and the average price for the 2<sup>nd</sup> age group was EUR 443.52.

*TaxBEN note:* The OECD calculations use the average fees for public kindergartens. Note that three-years-old children are included in the second age group.

Since September 2018, a new type of short program of 240 hours per year and entirely state-financed is available for children not enrolled in pre-school education one year before entering primary school (not modelled).

### 5.1.1. Discounts for part-time usage

Part time programmes are available, but in practice almost all (97%) children who attend kindergarten in Slovenia do so full time.

Working hours of publicly subsidised kindergartens vary from a minimum of 9 to a maximum of 16 hours per day. Most kindergartens open between 5.30 and 6.00 am and close between 16.00 and 16.30 pm. Kindergartens offer all-day programmes, half-day programs (4 to 6 hours per day) or shorter programs (240 to 720 hours per year).

#### Childcare fees (EUR / month) for part-time usage, by age group

|                  | Part-time program | Shorter program |
|------------------|-------------------|-----------------|
| First age group  | 410,00            | 301,56          |
| Second age group | 311,51            | 230,17          |

The reductions in childcare fees described in Section 5.2 apply also to the part-time and shorter-time programs.

*TaxBEN note:* The OECD calculations calculate the childcare fees depending on the hours of work of both parents selected by the user. If the parent works more than 50% of full time (i.e. more than 4 hours of work per day), the model uses the full-time childcare fees. If the working time is between 25 and 50% of full time (i.e. between 2 and 4 hours per day), the model uses the childcare fees for the part-time program. Finally, if the working time is positive but below 25% of full time (i.e. less than two hours of work per day), the model uses the fees that apply to the shorter program. When both parents work, the model calculates the childcare fees using the working hours of the parent who works less hours.

## 5.2. Childcare benefits

Variable name: `[cc_benefit]`

The OCED TaxBEN methodology defines as ‘childcare benefits’ any income support measures for parents of pre-school children that depend *explicitly* on the use of centre-based childcare services. In other words, a family that does not use centre-based childcare services is NOT eligible for this type of income support. Childcare benefits can take any of the following forms:

- Reductions of childcare fees, including free provision, applied *directly* by the childcare centre to reduce childcare costs for parents. Typically, these reductions are not applied to everybody, but only to those parents who are in difficult economic circumstances (e.g. low-income families, large families, lone parents, families with disable members, etc.).
- Childcare allowances paid by local / national authorities to parents who use centre-based childcare services. This support can take the form of conditional / unconditional cash transfers as well as vouchers to purchase childcare services, or supplements to other benefits (e.g. social assistance, disability and family benefits).
- Tax concessions for family’s expenses related to the use of centre-based childcare.

### 5.2.1. Reductions of childcare fees and free provision

Slovenia provides reductions of childcare fees to parents or guardians of children aged younger than age of 18, who legally reside in the Republic of Slovenia and actually live in the Republic of Slovenia when the income per family member does not exceed the maximum limit of income class pursuant to Parental Protection and Family Benefits Act.

Childcare benefits are not given in respect of children who in order to obtain education, schooling or training live in an institution which provides fulltime care free of charge.

There are nine payment brackets to calculate the reductions. The first bracket contains families with the lowest incomes, who are exempt of kindergarten fees payment; the ninth bracket includes those whose average monthly income per person amounts to more than EUR 1,034.15 and who pay 77% of the kindergarten program fee.

For families with two or more children in kindergarten, the fee for the second child is 30% of the fee paid for the oldest child, and all subsequent children are exempt from paying fees.

#### Income brackets for 2021 childcare fee reductions

| Income bracket | Average net monthly income per family member | Payment (% of the program price) |
|----------------|----------------------------------------------|----------------------------------|
| 1.             | to 191.40                                    | 0%                               |
| 2.             | from 191.41 to 319.01                        | 10%                              |
| 3.             | from 319.02 to 382.82                        | 20%                              |
| 4.             | from 382.83 to 446.62                        | 30%                              |
| 5.             | from 446.63 to 563.60                        | 35%                              |
| 6.             | from 563.61 to 680.56                        | 43%                              |
| 7.             | from 680.57 to 871.98                        | 53%                              |
| 8.             | from 871.99 to 1,052.75                      | 66%                              |
| 9.             | from 1,052.76                                | 77%                              |

Source: Ministry of Labour, Family, Social Affairs and Equal Opportunities

The average net monthly income is calculated by dividing the annual net household income (including earnings net of income tax and social security contributions as well as all benefits described in this report) by the number of family members, and by 12 (to get an average monthly income amount). Note that the child benefit (Section 4.1) enters the net income calculations in the same manner as it enters the financial social assistance and the housing benefit calculations (see Section 3.1.4 for details).

Municipalities may further reduce kindergarten fees to be paid by parents. Municipalities can decide to reduce kindergarten fees in two ways: 1) they grant benefits to all parents equally, for example, they reduce by 10 percent the payment for all parents; 2) they define their own criteria under which the reduced parental payment applies. For example, a reduced payment can apply to parents with a housing loan for the purchase of a dwelling in the municipality.

*OECD note:* The TaxBEN calculations do not consider the possibility of further reductions in the kindergarten fees made by local authorities.

#### 5.2.2. Childcare allowances for formal centre-based care

In Slovenia there are no childcare allowances paid directly to parents whose eligibility is conditional on the use of centre-based childcare.

#### 5.2.3. Child care allowance for children NOT using child care centers

Variable name: **[HOMECARE]**

See Section 4.1.2: if a pre-school child does not attend kindergarten, the amount of the child benefit is increased by 20%. This 20% increase is paid for children aged under 4.

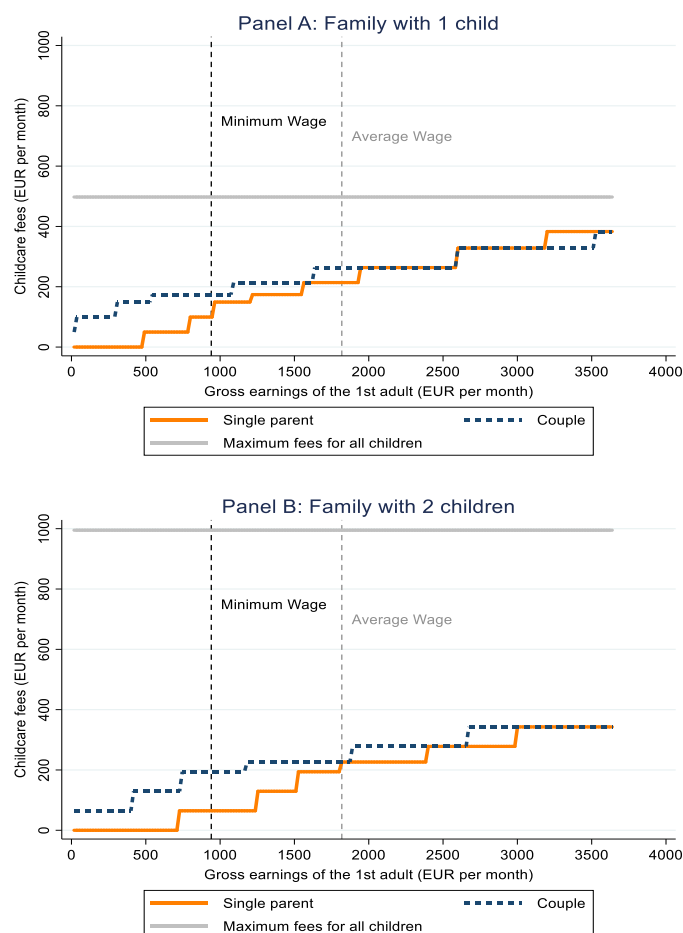
*OECD note:* this 'home care' allowance is considered as a family benefit and is therefore included in the TaxBEN macro variable **[FB]**.

### 5.2.4. Tax concessions for childcare expenditures

In Slovenia, childcare costs cannot be used to reduce the tax liabilities of parents who purchase childcare services.

**Figure 10. Childcare fees paid by parents**

40-year-old single person or couple with children



*Note:* Both parents are working full time and use public childcare for all children for the full day. In a couple, the second adult earns 67% of the average wage. Horizontal axis shows gross earnings of the first adult only. Results assume no receipt of unemployment benefits, family benefits, social assistance benefit, housing benefit or any other benefits that are usually included in the means test for calculating childcare fees. Children are 2 and 3 years old. The full (maximum fee) per child is equal to the average childcare fee in the country. Results take into account discounts provided at the national level based on net family income and number of siblings in the family. The 3<sup>rd</sup> and any subsequent child is fully exempt from childcare fees. Local discounts are not taken into account.

*Source:* OECD Tax-Benefit Model.

## 6. Employment conditional benefits

In Slovenia there are two temporary ‘into-work’ benefits for unemployment benefit recipients who take up employment while receiving unemployment benefits.

According to the OECD tax-benefit model methodology, these benefits are included in the same variable as the main benefits to which they are linked (UB in the case of Slovenia).

## 7. Social security contributions and payroll taxes

### 7.1. Social security contributions

Variable names: `[SOCSEC_p; SOCSEC_s; SSCR_p; SSCR_s]`

As of January 1<sup>st</sup> 2021, there are four compulsory social security insurance schemes in Slovenia:

- pension and disability insurance;
- health insurance;
- unemployment insurance and
- maternity leave insurance.

Persons liable to pay contributions are insured individuals (including employees, the self-employed, farmers, and others), employers and other persons.

In general both employers and employees pay compulsory social security contributions.

The calculation base for employee social security contributions is made by gross wages and salaries (with no limitations), plus other income from employment (such as vacation payments, fringe benefits and remuneration of expenses related to work above a certain threshold) and income from benefits assimilated to salaries (such as income from unemployment benefits). The calculation base for the employer social security contributions is the same as for the employees.

The system of health insurance is divided into compulsory health insurance, voluntary health insurance for additional coverage, and insurance for services that are not a constituent part of compulsory insurance.

The pension and disability insurance system covers:

- compulsory pension and disability insurance based on the intergenerational solidarity;
- compulsory supplementary pension insurance (occupational pension insurance);
- voluntary supplementary pension insurance on the basis of personal pension savings accounts.

Compulsory social security contributions are deductible from income for the purposes of income tax (see Section 8).

Employee social security contribution rates are as follows (2021 rates):

|                        |               |
|------------------------|---------------|
| Pension insurance      | 15.50%        |
| Health insurance       | 6.36%         |
| Unemployment insurance | 0.14%         |
| Maternity leave        | 0.10%         |
| <b>Total</b>           | <b>22.10%</b> |

As of 2013, there is a wage floor for the calculation of employee social security contributions. In 2021, the wage SSC floor is calculated as 60% of the statutory average gross wage for the previous year. The monthly average gross wage used for the 2021 wage floor calculation is equal to EUR 1856.20, which implies a wage SSC floor of  $1856.20 \times 0.6 = \text{EUR } 1113.72$ . For part-time employees, the SSC floor is calculated proportionally to the number of working hours, e.g. multiplying the full-time wage floor by 0.5 in case of 20 hours of work.

The related minimum SSC contribution for full time employees with gross monthly wages equal or below EUR 1113.72 is equal to:  $22.1\% \times 60\% \text{ of AW} = \text{EUR } 246.13 / \text{month}$  (2953.58 per year).<sup>11</sup>

Employer social security contribution rates are as follows (2021 rates):

|                                                                 |               |
|-----------------------------------------------------------------|---------------|
| Pension insurance                                               | 8.85%         |
| Health insurance (including insurance against injuries at work) | 7.09%         |
| Unemployment insurance                                          | 0.06%         |
| Maternity leave                                                 | 0.10%         |
| <b>Total</b>                                                    | <b>16.10%</b> |

For earnings below the wage SSC floor (EUR 1113.72 in 2021), employer pay the employer contribution rate plus the employee contribution rate calculated as the difference between actual earnings and the wage SSC floor.

Self-employed individuals are obliged to pay social security contributions (SSC) on the basis of their profits. They are obliged to pay SSC on a monthly basis and there is no consolidation on a yearly level. The base for social security contributions for the self-employed is profits made in previous year reduced by 25%. If the self-employed person makes a loss or a profit (reduced by 25 %) that is less than the 60 % of average wage (AW), then they have to make a minimum contribution based on 60 % of the AW. The maximum insurance (contribution) base is 350% of the AW. Self-employed individuals can opt to pay their SSC at a higher insurance (contribution) base than the one calculated on the basis of their profit but no higher than the amount equal to 350% of the AW. The contributions rates for the self-employed are as follows (2021 rates):

|                                                                 |               |
|-----------------------------------------------------------------|---------------|
| Pension insurance                                               | 24.35%        |
| Health insurance (including insurance against injuries at work) | 13.45%        |
| Unemployment insurance                                          | 0.20%         |
| Maternity leave                                                 | 0.20%         |
| <b>Total</b>                                                    | <b>38.20%</b> |

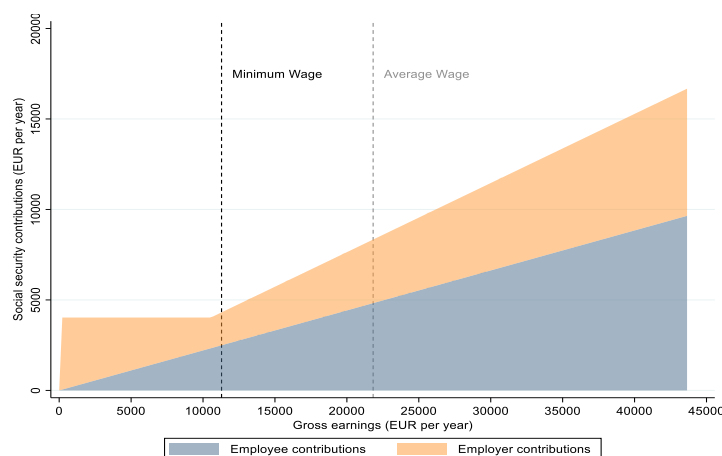
*TaxBEN note:* Calculations for self-employed persons are outside the scope of the model.

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<sup>11</sup> The series of statutory average gross monthly wages for all years is available from [this website](#). The wage value that enters the calculation of the SSC floor depends on the selected period of the calendar year. From 01/01 to 28/02, the relevant wage value is based on preliminary estimates, as official statistics for the average wages in the previous year are not yet available. From 01/03 to 31/12, the relevant wage for the SSC floor is the final estimate of the average gross wage of the previous year. The TaxBEN calculations use the final official estimates when possible.

**Figure 11. Social security contributions**

40-year-old single person without children



Note: The figure shows social security contributions paid by employee and employer. The employee has no other sources of income except earnings from full-time work. Social security contributions do not depend on family structure.

Source: OECD Tax-Benefit model.

## 8. Taxes

### 8.1. Personal income tax

Variable name: `[IT_p; IT_s]`

#### 8.1.1. Tax unit

The tax unit is the individual.

#### 8.1.2. Tax base

Personal income tax is levied on six categories of income: income from employment, business, basic agriculture and forestry, rental and royalties, capital (interest, dividends and capital gains) and other special incomes. Note: unemployment insurance benefits (Section 2.1), partial unemployment benefits (Section 2.1.7) and the ‘into work’ benefit (Section 6.1) are assimilated to employment incomes.

The tax base considered in the OECD calculations includes, where applicable, the following income components: employment income, unemployment insurance benefit (Section 2.1), partial unemployment benefit (Section 2.1.7), in-work benefit (Section 6).

#### 8.1.3. Reduction to the tax base

In 2021, the following reductions apply:

- Employee’s compulsory contributions for the social insurance system are deductible for income tax purposes.
- General (basic) allowance of EUR 3500 in 2021 for all resident taxpayers. There is an additional allowance for resident taxpayers with incomes below EUR 13316.83. In this income range, the total allowance (including the basic allowance for all resident taxpayers) is calculated by the following equation:  $3500 + [18700.38 - 1.40427 \times \text{total income}]$ , where EUR 3500 is general (basic) allowance whereas the formula in brackets is the additional allowance.
- Family allowances granted to residents with dependents:

- EUR 2,436.92 for the first dependent child;
- EUR 2,649.24 for the second child;
- EUR 4,418.54 for the third child;
- EUR 6,187.85 for the fourth child;
- EUR 7,957.14 for the fifth child;
- EUR 1,769.30 for the sixth and subsequent children;
- EUR 8,830.00 for a dependent child who requires special care;
- EUR 2,436.92 for any other dependent family member.

The family allowance for a dependent child in the tax year can be granted to one parent only, though any unused allowance can be transferred to the other parent. Parents can transfer to the other partner only multiples of the *monthly* family allowance. Box 1 provides an example of optimal split between the two partners.

*TaxBEN note:* for two earner couples, the model assumes that the parents choose the monthly split that minimises the overall income tax liability at the family level.

The allowance for another dependent family member can be claimed in respect of a dependent spouse who is not employed and performs no business activities, has no income of his or her own or has an income which is less than the level of the special allowance for a dependent family member (EUR 2,436.92 in 2021). This allowance can also be claimed in respect of a separated or divorced spouse, if they have been granted the right to maintenance from the taxpayer under a court order or other agreement. (Note that this last scenario is not simulated by the TaxBEN model).

There are also a number of non-standard tax reliefs (not simulated in the TaxBEN model):

- Tax allowance for persons with disabilities of EUR 17,658.84
- Reimbursement of expenses associated with work, such as in-work meals, transport to and from work, in-the-field supplements (per diem when an employee works outside his or her working place) and compensation for being away from home, are exempt subject to statutory conditions and upper limits.
- Tax allowance for voluntary supplementary pension insurance. Premiums paid by a taxpayer or their employer up to a maximum of 24% of compulsory contributions for pension and disability insurance paid by a taxpayer or EUR 2,819.09 can be deducted in 2021.
- Tax allowance of EUR 3,500.00 for income earned by pupils or students for temporary work done on the basis of a referral issued by special organizations dealing with job-matching services.

**Box 1. Calculation of the taxable income for a two earner couple with two children**

Values in EUR / year

|                                                                              | Adult 1 | Adult 2 |
|------------------------------------------------------------------------------|---------|---------|
| Gross earnings from employment [1]                                           | 12222   | 10801   |
| Social Security contributions [2]                                            | 2701    | 2387    |
| Basic allowance [3]                                                          | 3500    | 3500    |
| Basic allowance (additional amount for low earners) [4]                      | 1537    | 3532    |
| Allowance for dependent spouse [5]                                           | 0       | 0       |
| Taxable income before the family allowance [6] = [1] - [2] - [3] - [4] - [5] | 4484    | 1382    |
| Family tax allowance [7]                                                     | 3815    | 1271    |
| Final Taxable income [8] = [6] - [7]                                         | 669     | 109     |

Note: the total family allowance for a family with two children is EUR 5086. The optimal split in the example above is 3 monthly allowances for the second adult, i.e. EUR 5086/12\*3=1271, and 9 monthly allowances for the first adult, i.e. EUR 5086/12\*9=3815.

#### *8.1.4. Personal income tax schedule*

The tax schedule for the year 2021 is as follows:

| <b>Income band (EUR)</b> | <b>Rate</b> |
|--------------------------|-------------|
| up to 8,500.00           | 16%         |
| 8,500.00 to 25,000.00    | 26%         |
| 25,000.00 to 50,000.00   | 33%         |
| 50,000.00 to 72,000.00   | 39%         |
| above 72,000.00          | 50%         |

#### *8.1.5. Tax credits*

There are the following income tax credits (not simulated in the TaxBEN model):

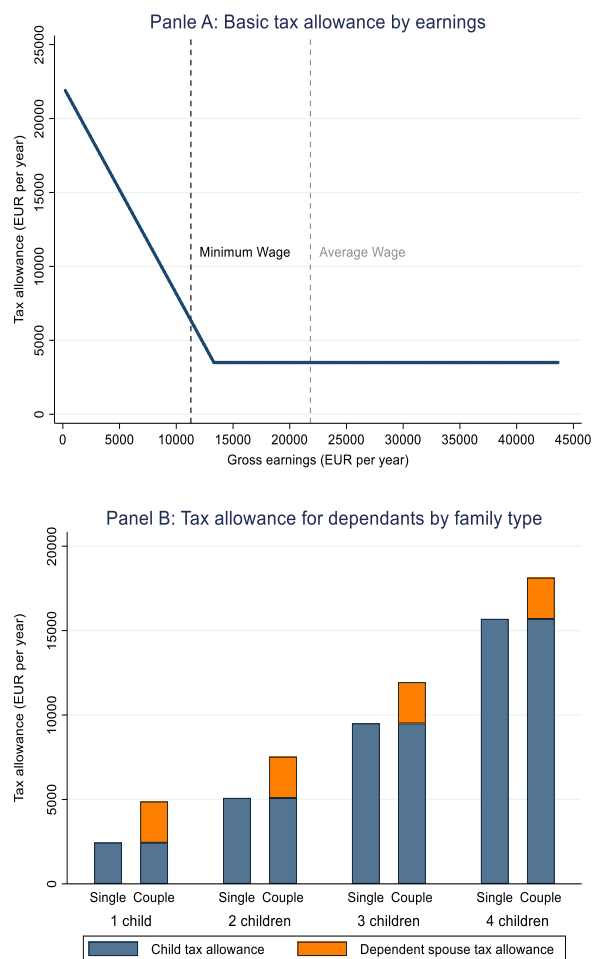
- 13.5% of the pension received from compulsory pension and disability social insurance.
- 13.5% of the compensation received from compulsory disability social insurance as disabled worker.

#### *8.2. Regional and local income tax*

There are no regional or local income taxes.

**Figure 12. Maximum tax allowances**

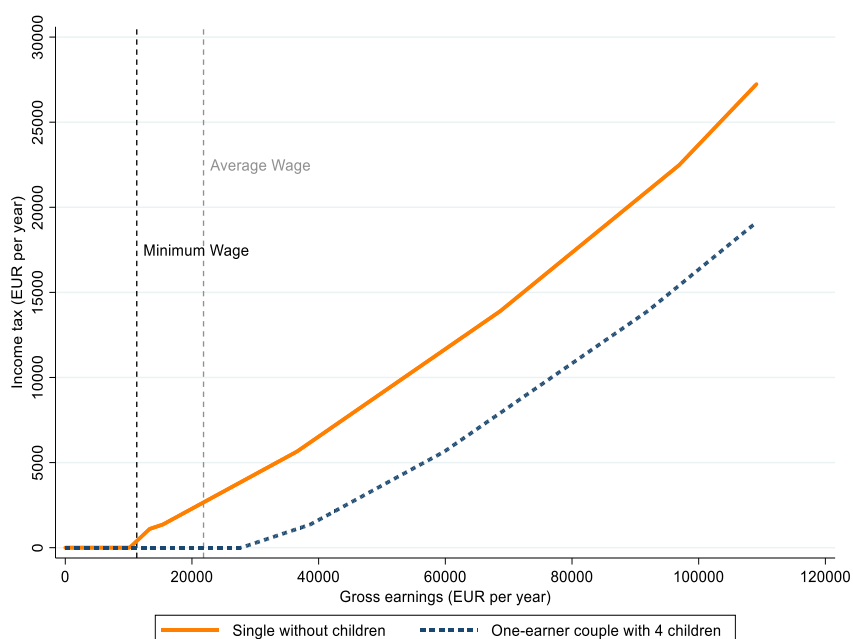
40-year old single or couple with or without children



*Note:* The figure shows the maximum amounts of tax allowances that a person is eligible to. The actual amount of allowances that a person can use is limited by taxable income (not shown in the figure). In Panel A, basic (general) tax allowance does not depend on family structure, but it decreases with earnings. In Panel B, family tax allowance for dependent children and dependent spouse does not depend on earnings, but it depends on family structure. In a couple, the spouse is assumed to be out of work. *Source:* OECD Tax-Benefit Model.

**Figure 13. Income tax**

40-year-old single person



*Note:* The figure shows income tax paid by a working adult in two different family situations: single without children and married with four dependent children and a dependent spouse. The person has no other sources of income but earnings from full-time work. Income tax is calculated at the individual level, but the amount of tax allowances subtracted from the tax base depends on family structure, hence, the difference in the final tax liability.

*Source:* OECD Tax-Benefit Model.

## 9. Selected output from the OECD tax-benefit model (TaxBEN)

This section shows selected output of the TaxBEN model for Slovenia 2021 (Figure 14). TaxBEN by default produces the following output: 1) net household incomes (**black lines**) and 2) related income components (**coloured stacked areas**) for selected family and individual circumstances (e.g. a lone parent working at different earnings levels with two children aged 4 and 6 respectively – users are free to select many of these circumstances). The model and the related web calculator is accessible from the [project website](#). Figure 14 shows outputs for four scenarios:

- By gross earnings (**Panel A**);
- By unemployment duration (in months) for a jobseeker claiming unemployment benefits (**Panel B**);
- By previous gross earnings levels for a jobseeker claiming unemployment benefits (**Panel C**);
- By previous employment record, for a jobseeker claiming unemployment benefits (**Panel D**).

The stacked areas shows the following household income components: **GROSS** = gross earnings; **SSC** = social security contributions; **IT** = income tax; **FB** = family benefits; **HB** = Housing benefits; **SA** = social assistance / Guaranteed minimum income benefits; **IW** = in-work benefit. Note that these components may be the result of the aggregation of more than one benefit into a single component. Please refer to the table of content to see the benefits included in each category.

Results in Figure 14 refer to a 2-adult family with two children. Adults are both 40 years old whereas children are 4 and 6 years old respectively. Social assistance and housing benefits are assumed to be available in all the four scenarios when the necessary income and eligibility requirements are met. Where receipt of social assistance or other benefits is subject to activity tests (such as active job-search or being available for work), these requirements are assumed to be met.

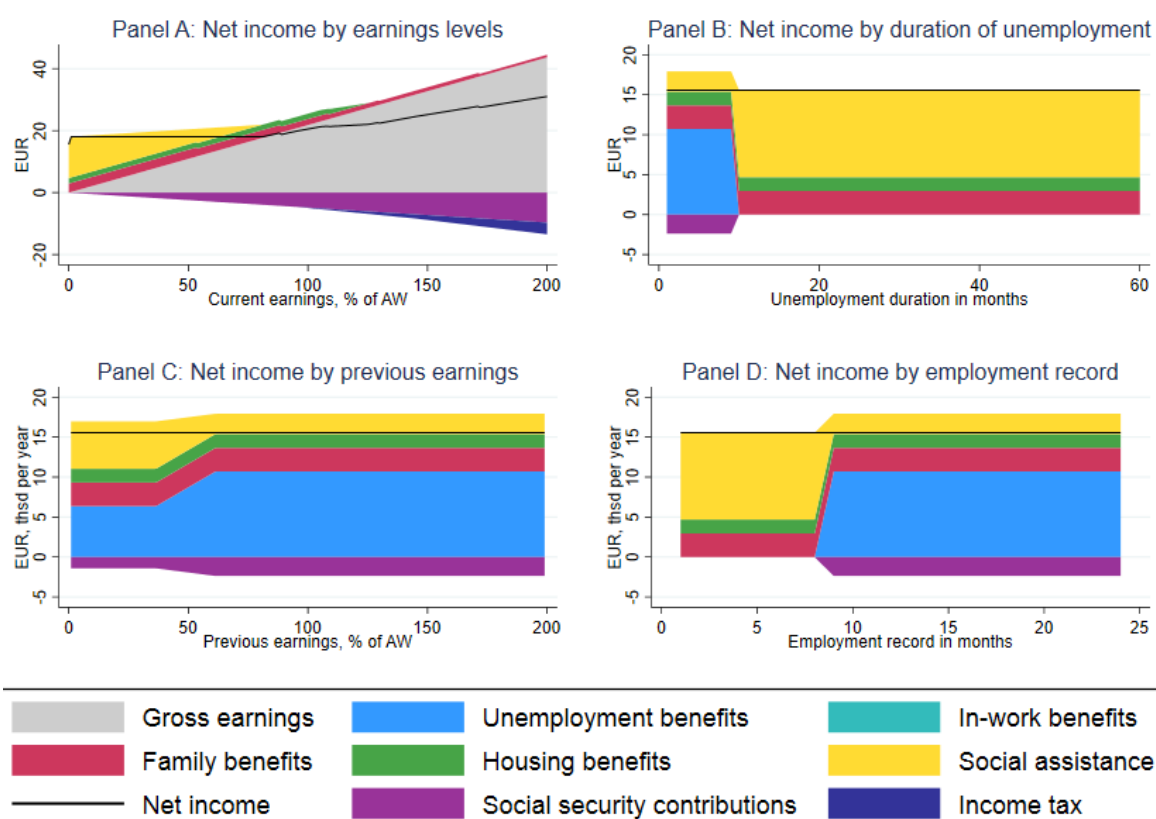
Panel A assumes that one adult family member (so-called ‘spouse’ using the TaxBEN terminology) is out of work and not eligible for unemployment benefits (e.g. because they have expired) whereas the other adult member (so-called ‘principal’) is employed full-time and full-year at different earnings levels. When earnings of the first adult are zero this person is assumed to be out of work but not receiving unemployment benefits (again, e.g. because they have expired), instead claiming social assistance or guaranteed minimum income benefits, as applicable.

Panels B to D assume that the second adult is out of work and not eligible to unemployment benefits whereas the first adult is also out of work and claiming unemployment benefits. In Panel B and C the first adult is assumed to have a ‘long’ employment record of 264 consecutive months before the job loss. The horizontal axis in Panel B measures the time of benefit receipt, starting from the first month. The horizontal axis in Panel C shows the amount of previous gross earnings (before any social contribution payments). Results in Panels C and D refer to the 2<sup>nd</sup> month of unemployment benefit receipt whereas Panel D consider the case of previous earnings equal to the average Wage. Previous earnings in Panel B are also equal to the average wage.

TaxBEN assumes the following logical sequence of benefit claims: 1) Unemployment Insurance (Section 2.1)/In-work benefit (Section 6), 2) Family benefit (Section 4.1), 3) Social Assistance (Section 3.1), 4) Housing Benefit (Section 3.2).

**Figure 14. Selected output from the OECD tax-benefit model**

Couple with two children.



*Note:* See section 9 for details on the calculations.

*Source:* Calculations based on the OECD tax-benefit model 2021.

## Annex: Other benefits and direct taxes

This section provides a brief description of other cash benefits and taxes on employment incomes in Slovenia that are relevant for some members of the population below the statutory retirement age, but which are not included in the OECD tax-benefit model.

### ***Supplementary Allowance (varstveni dodatek)***

The primary target groups are for the Supplementary Allowance are:

- Elderly persons (women older than 63 and men older than 65) economically inactive.
- Those who are permanently unemployable or permanently incapable for work (independently of their age).

*OECD note:* as the standard TaxBEN model focus on the working-age population and assume that adults have full work capacity, the Supplementary Allowance is not included in the calculations.

The eligibility conditions for the Supplementary Allowance are the same as those for the Financial Social Assistance benefit (Section 3.1).<sup>12</sup> The income eligibility threshold for entitlement to the Supplementary Allowance is the sum of the minimum income for a single person or family, plus the relevant amount of Supplementary Allowance. On the 1<sup>st</sup> of January 2021, the income eligibility thresholds were:

- 1.47 times the Basic Minimum Income, for a single person or the first adult in the family;
- 2.29 times the Basic Minimum Income, for a family of two persons, in which both members are eligible for Supplementary Allowance;
- 1.82 times the Basic Minimum Income, for a family of two persons, in which only one member qualifies for Supplementary Allowance.

For families with children, the thresholds above are increased by 0.11 times the Basic Minimum Income *for each child*.

Income and assets are taken into account in the means test in the same way as for the Financial Social Assistance (Section 3.1). Persons who are in full-time institutional care in a social welfare institution are not entitled to the Supplementary Allowance (Social Assistance Payments Act, 2010 and subsequent amendments).

The Supplementary Allowance is an independent programme with respect to the Financial Social Assistance (Section 3.1): If a person is not entitled to FSA, he or she may still be entitled to the Supplementary Allowance if the relevant statutory conditions are met.

The Supplementary Allowance is equal to the difference between the income eligibility threshold of the Supplementary Allowance (listed above) and the maximum amount of Financial Social Assistance (Section 3.1).

The Anti-corona package (see the Annex for the details) provided a non-taxable 'Solidarity allowance' for recipients of Supplementary Allowance. The Solidarity allowance was a one-off payment paid in April 2020.

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<sup>12</sup> The conditions apply mutatis mutandis. For example, persons are not obliged to look for a job because they are retired or do not have full work capacity.

In order to mitigate the consequences of the COVID-19 epidemic, assets other than savings and shares (“vrednostni papirji”) (which can be quickly disposed of by an individual), were not taken into account. The measure lasted from March to April 2020 and from October 2020 to May 2021.

Supplementary Allowance which expired in the time of the declared epidemic in Slovenia was extended monthly (special COVID-19 Epidemic Act). The extension was carried out every month until the cancellation of the epidemic. The extension lasted from March to April 2020 and from October 2020 to May 2021.

### ***Extraordinary financial social assistance***

In cases where a families, for reasons beyond their control, found themselves in a position of material need, they can be granted Extraordinary Financial Social Assistance:

This type of Financial Social Assistance is granted in exceptional circumstances only, when a person finds him or herself in a situation of temporary material deprivation, caused by extraordinary living expenses which he or she cannot cover with his or her own income. It is awarded on a discretionary basis.

The monthly amount of Extraordinary Social Assistance cannot exceed the amount of Basic Minimum Income for that family type, while the amount of one-off Extraordinary Assistance in one calendar year cannot exceed the amount of five Basic Minimum Incomes from which three can be granted only for extraordinary costs incurred due to natural disasters or *force majeure*.

There are also two specific types of Extraordinary Financial Social Assistance: Special Extraordinary Financial Social Assistance after the Death of a Family Member (*posebna oblika izredne denarne socialne pomoči po smrti družinskega člana - posmrtnina*) and Special Extraordinary Financial Social Assistance for Covering Funeral Expenses (*posebna oblika izredne denarne socialne pomoči kot pomoč pri kritju stroškov pogreba - pogrebna*). The purpose of these two types of extraordinary assistance is to provide financial assistance to relatives of the deceased and to partially cover funeral costs.

Special Extraordinary Financial Social Assistance after the Death of a Family Member and Special Extraordinary Financial Social Assistance for Covering Funeral Expenses are one-off payments payable to those who are entitled to Financial Social Assistance in the event of death of their spouse, cohabitant, child, stepchild or parents and who are fulfilling the conditions for receiving Financial Social Assistance. The Special Extraordinary Financial Social Assistance after the Death of a Family Member equals 100% of the BMI (which is EUR 402.18). The Special Emergency Financial Social Assistance for Covering Funeral Expenses equals 200% of the BMI (i.e. EUR 804.36), but cannot exceed the actual costs of the funeral.

The Covid-19 epidemic and the consequent emergency measures were considered as a *force majeure* due to which the individual or family found themselves in a situation of material endangerment, so individuals or families were able to receive a higher amount of Extraordinary Financial Social Assistance in a calendar year. The deadlines for proving the intended use of Extraordinary Financial Social Assistance at the time of the declared epidemic did not run or began to run again with the cancellation of the epidemic.

### ***Partial payment for lost income***

Partial payment for lost income is a personal benefit that is paid to one of the parents of a child with severe problems with mental development or a severe disability relating to mobility who has terminated their employment or started to work part time in order to

care and safeguard the child. The monthly amount of partial payment for lost income is EUR 751.77. This payment is subject to income tax and social security contributions.

### ***Special Child Care Allowance for children in need of special care***

This is an additional allowance of EUR 102.40 per month. For a child with severe disturbances in mental development and children with severe disability in movement, who need special care, the allowance is EUR 204.80. The Special Child Care Allowance for a Child in Need of Special Care is not taxed.

The Anti-Corona packages (described below) provided in 2020 and 2021 an additional solidarity payment of 100 EUR for every month of declared epidemic crises for all the recipients of the Special Child care Allowance. This additional solidarity payment terminated in 2021 (the last payment was in June 2021).

### ***Subsidies for snacks and lunches for pupils and students until the upper-secondary school.***

A food subsidy is granted for a period of one school year to pupils and students up to the upper-secondary school.

Pupils are children aged from 6 years and 8 months and up to 14 years and 6 months.

Upper-secondary students are those aged between 15 and 19 years.

*TaxBEN note:* the OECD calculations assume that children are born on the 1st of January of the relevant year (depending on the user-selected age, expressed in years rather than months). Hence, because in Slovenia the school year starts on the 1st of September, a child born on the 1st of January starts attending school in the calendar year in which s/he reaches the age of 6 (6 years and 8 months). Following the same reasoning, children complete the primary and lower secondary school in the year in which they reach the age of 14 (14 years and 6 months). Hence, children with a TaxBEN age between 6 and 14 years are eligible for the transport subsidy.

The following children are entitled to a *full* snack subsidy:

- Pupils in families whose average monthly income per person, determined in a valid decision on child allowance or state scholarship, does not exceed € 563.60.
- Students in families whose average monthly income per person, determined in the decision on child allowance or state scholarship, does not exceed € 446.62 euros (up to and including the fourth class of child allowance).
- Pupils and students placed in a foster family on the basis of a decision to place a child in a foster family.
- Pupils and students who are asylum seekers.
- Pupils and students who are placed in institutions for the upbringing and education of children and adolescents with special needs or in homes for pupils and attend school outside the institution.

The following children are entitled to a *partial* snack subsidy:

- Students (who are in full-time education and registered for the partial snack subsidy) in families in which the average monthly income per person determined in the valid decision on child allowance or state scholarship is:
  - Between € 446.63 and € 563.60 (fifth class of child allowance), in the amount of 70% of the price of the snack.
  - Between €563.61 and €680.56 euros (sixth class of child allowance), in the amount of 40% of the price of the snack.

The following children are entitled to a *full* lunch subsidy:

- Pupils whose average monthly income per person, determined in a valid decision on child allowance or state scholarship, does not exceed € 382.82 euros are entitled to full lunch subsidy.

**Box A.1. Mandatory costs for pupils and students attending schools up to upper-secondary education**

**Average costs of snacks for pupils**

- The price of snacks is determined by a decision of the Minister responsible for education, as a rule, for each school year.
- In the school year 2020/21, the price of snacks for pupils (basic school) is 0.80 EUR (assuming 22 working days it amounts to 17.6 EUR per month).

**Average costs of lunches for pupils**

- Lunch prices for pupils are set by the schools themselves; individual schools also offer lunches at several different prices, according to our information up to 4 different prices. The average amount of (subsidized) lunch for pupils in the school year 2020/21 is 2.49 EUR (assuming 22 working days it amounts to EUR 54.78 per month).

**Average costs of snacks for students in upper-secondary school**

- The price of elevenises is determined by a decision of the Minister responsible for education, as a rule, for each school year.
- In the school year 2020/21, the price of elevenises for students in upper-secondary school is 2.42 EUR (assuming 22 working days it amounts to 53.2 EUR per month).

**Other mandatory costs associated with pupils attending school**

- Workbooks and textbooks up to and including the 3rd grade are purchased by the basic school, pupils attending 4th -9th grades of the basic school borrow textbooks at the school free of charge, while workbooks from the 4th grade onwards buy parents.
- The school can conduct some lessons in the so-called “school in nature”. The costs of schools in nature vary. Each school defines the content, implementation and financing of each school in nature.
- The State partially co-finances “school in nature” to all students of one generation each year. Each student is entitled to partial co-financing of the school in nature from the state budget at least once during his / her compulsory primary education. The funding is provided by the state budget. At the same time, it also provides partial subsidies for low income students to participate in the “School in nature”, whose parents are not able to pay the full contribution. In determining the amount of the allocation of funds, the material situation of the family from which the student comes is taken into account, as well as other social circumstances of the family.
- The exact amount of the subsidy is uncertain as also the funding of the “school in nature” can be partially covered by local communities, donors and sponsors.

**Other mandatory costs associated with students:**

Textbook funds in upper-secondary education schools: Textbook funds in high schools are not mandatory, but most schools have them. Students can borrow a full set of textbooks from the school textbook fund. Price of borrowing of a textbook set can amount to a maximum of one third of the retail price of textbooks.

***Other subsidies for students in upper-secondary education***

This section describes other subsidies for students in upper secondary education. Please note that some of these subsidies, as well as other types of subsidies, are available also

for students in tertiary education. However, because subsidies for students in tertiary education are outside the scope of this report they are not described in this section.

**Subsidies for dormitory accommodation for students in upper-secondary education (dijaški domovi):** In cases where two or more children from the same family stay in dormitory accommodations (can be in different ones), the second and subsequent child stays in a dormitory free of charge. The subsidized stay is not linked to the financial situation of the family from which the children come and in the school year 2020/2021 it amounts to EUR 220 per month per child. The amount of the subsidy for living in a dormitory is determined each year by a decision of the minister responsible for education.

**Subsidized public transport tickets for students in upper-secondary (and tertiary) education:** Students (in upper-secondary and tertiary education) are entitled to purchase subsidized public passenger transport tickets (bus, rail and urban transport) if his / her residence is at least 2 km away from the place of education.

The amount of the ticket price paid by the beneficiary depends upon the length of the distance of place of the student's residence to the educational institution he/she attends.

The payment of the beneficiary for the subsidized ticket is determined according to the distance class classification:

- 1<sup>st</sup> class of a distance - the beneficiary travels at a distance of 2 km up to and including 60 km (price of the monthly ticket: 25 EUR);
- 2<sup>nd</sup> class of a distance - the beneficiary travels at a distance of more than 60 km up to and including 90 km (price of the monthly ticket: 35 EUR);
- 3<sup>rd</sup> class of a distance - the beneficiary travels at a distance of more than 90 km (price of the monthly ticket: 55 EUR)

For students in upper-secondary education transportation is subsidized in the period from September 1 to June 30 of the current school year, while for students in tertiary education from October 1 to June 30 of the current academic year. The subsidy is financed by the Ministry of Infrastructure of the Republic of Slovenia.

The Anti-Corona packages (described below) provided additional support for students. Special support for students under 18 provided as part of the Anti-Corona packages is described in Section 4.1.

In addition, the Anti-Corona package included:

- A lump-sum payment of 50 EUR for all secondary school students over 18 with a permanent or temporary residence in Republic of Slovenia.
- A lump-sum solidarity allowance of 150 EUR paid in April 2020, January 2021 and March 2021 to students of tertiary education with a permanent residence in the Republic of Slovenia who were studying in the 2019/2020 and 2020/2021 academic years. Students eligible for this solidarity allowance were those who attended publicly valid study programs in the Republic of Slovenia and were not included in the compulsory pension and disability insurance.

### ***Exemption from payment of RTV contribution***

Those who are receiving Financial Social Assistance or Supplementary Allowance are exempted from paying contribution for national radio and television services which currently amount of €12,75 (2020).

### ***Exemption from payment of supplementary health insurance premium***

Those who are receiving Financial Social Assistance, and are not at the same time entitled to Supplementary Allowance, are eligible to the full coverage of the health expenses (partly covered by the supplementary health insurance) by means of an exemption of monthly payment of supplementary health insurance premium. The average monthly premium for supplementary health insurance in 2020 amounts to € 35.40. It varies by provider among the three private insurance companies (Triglav € 35.55; Vzajemna € 35,67; Generali € 34.50).

### ***The Anti-Corona packages***

On the 2<sup>nd</sup> of April, a package of intervention measures, so called 1<sup>st</sup> Anti-Corona package, was adopted in order to mitigate the consequences of COVID-19 crisis in the economy and among the citizens. On the 1<sup>st</sup> of May, a 2<sup>nd</sup> Anti-Corona package came into force. The main intention of the 2<sup>nd</sup> package of various measures is to support the companies to maintain the financial flows (financial liquidity) during the health and economic crisis, but it brought also some amendments related to the intervention measures that were adopted under the 1<sup>st</sup> anti-Corona package.

The most important labour market measure adopted already within the 1<sup>st</sup> Anti-Corona package and amended several times during 2020 is the financial aid to employers whose revenues reduced by at least 20 % in comparison to 2019. The financial aid refers to compensation of full coverage of net wage for workers on temporary lay-off and workers who were assigned to quarantine by the Health Ministry. The PES plays important role in the implementation of this measure. The wage compensation of these workers amounts 80-100% of regular wage, the amount depending on the company receiving under or above State Aid ceiling or (as of February 2021) for companies in sectors prohibited from operating during epidemic. The minimum compensation of the wage must not be lower than the minimum wage and the maximum compensation from December 2020 onwards is set at 2019 level of average wage in Slovenia (1.753,84 EUR). Before this, the upper wage limit was equal to maximum unemployment allowance (892.50 EUR). The employers have to send to PES a claim with a list of all temporary-laid off workers and have to inform PES each time a worker is called back to work either for few days or to re-assume the job on regular basis. The PES has to process each employer's application in 8 days. The wage compensation for the workers is paid out to employers by PES at least on a monthly basis. The maximum duration of measure is end of April 2021, but could be prolonged till and of June if necessary.

**Short-time work compensation scheme:** In June 2020 (currently valid to end June 2021), the Short-time work compensation scheme was introduced as part of intervention measures. The employer is subsidies for max 50% of the full working time reduced, and for the rest of 5 to 20 hours weekly the subsidy is available in the range of 112 to 448 EUR per week.

The above mentioned employers are entitled to other measures related to retain the workforce as well but they are implemented by national tax authority and consist of the following: all social contributions for workers on temporary lay-off will be covered by national Budget; the contribution for pension and invalidity insurance for those who continue to work will be covered by the state.

**Temporary unemployment benefit:** described in Section 2.1.

**Solidarity allowances for families and additional allowances for large families** (described in Section 4.1).

Solidarity allowance for recipients of financial social assistance (described in Section 3.1), students (described in the Annex section “Other subsidies for students”), and other vulnerable groups.

The Anti-Corona packages provided support also to **self-employed** (including farmers and religious workers) who could not perform activities or could prove a substantial decrease of incomes due to the health crisis. These workers were entitled to a lump-sum payment of 350€ in March 2020, and 700€ in April and May 2020. They were also exempted from payments of all social contributions for the period from 13 March until 31 May 2020. The lump-sum payment for the self-employed was again introduced at the end of year 2020 in the amount 1100 € per month (for October, November and December 2020). The measure was then prolonged in January, February and March 2021 (with the same amount).

With the same intervention packages, companies and self-employed were exempt from payment of the preliminary income tax prepayment and pre-payment of income tax on income from activity and the corporate income tax prepayment for two months. Taxpayers could also in April and May deferred payment of all taxes for up to two years or instalment payment of all taxes in no more than 24 monthly instalments. This measure was introduced again in November 2020, and remained in force until 31 of March 2021.

Finally, other assistance measures included in the Anti-Corona packages and not described elsewhere in this report are the lump-sum payment for pensioners with pensions up to 700 and the extra funds for the most deprived to guarantee additional help in food.